

achieved the scale of, say, AWS, if licence fees for millions and millions of servers had to be rolled out.”

He adds, “The reverse is also true as the public cloud is responsible for making open source projects popular. Another way public cloud has accelerated the monetisation of open source is through the SaaS route.”

Cloud and open source can enjoy a mutually beneficial relationship as long as the former does not start eating into the latter’s business model. This happens when an open source product becomes tremendously popular. “I definitely see the partnership between the cloud and open source evolving. It will be interesting to see how this happens,” says Chandhoke.

Elasticsearch needs no introduction. This search engine, based on the Lucene library, has been the go-to favourite of many open source developers. But, in early 2021, the company came out with the groundbreaking Elastic License 2.0.

The licence allows users the right to use, modify, create derivative works, and redistribute software. However, there are ‘three limitations’:

1. Users may not provide products to others as a managed service.
2. Users may not circumvent the licence key functionality or remove/obscure features protected by licence keys.
3. Users may not remove or obscure any licensing, copyright or other notices (as published by Elastic.co).

This means that both Elastic License 2.0 and SSPL have not been approved by the OSI. Hence, neither Elasticsearch nor Kibana are now considered open source. This is an example of how fast the world of open source is evolving, and how quickly existing business models are shrinking while new ones are making their way!

“This has impacted the community in two ways. The first is that contributors were suddenly told that what they have worked for

is no longer truly open source. The second is that the solutions big and small players are developing cannot be made public now, keeping in mind the announcements made by Elasticsearch,” says Chandhoke.

Partnerships with big players

The last decade has been all about collaborations and mergers in the world of technology, and the open source vertical is not an exception. To partner with a big player like Microsoft can be a big opportunity for startups and organisations already operating in the domain of open source.

Sharma says, “If you are a services provider, there are opportunities available with Microsoft as the company has a specialisation in Linux and Kubernetes.”

There are many opportunities for ISVs too. Sharma gives an example of an assessment engine based on open source notes. “It scaled up very easily. However, the problem was finding customers beyond India. So they leveraged the 60+ data centres that Microsoft has.”

Whether the solutions are for education, health, finance or any other industry, big players can not only help scale the offerings across geographies but can also help make these solutions more secure.

“The core of the solutions that Microsoft offers is actually coming via partners. We are only providing them the platform. The solutions are coming through organisations that are based around the world,” explains Sharma. More than 60 per cent of the solutions being offered are based on open source!

Why do open source companies have high valuations?

Partnering with big names also brings forth a question: Why is the value of open source companies so high? The answer lies in the consumer base that

many of these organisations have, and how brilliantly they are handling the complex layers of architecture.

“The conflict between Amazon and other companies is also one of the reasons for the high valuation. There still exist companies that believe in hosting everything on their own server rather than on the cloud,” says Doshi.

Then, why do developers work for free? Doshi says, “Because you are using that tech for yourself. For example, if I am working on a project, I will want to use that work for myself as well. I may want to build my UI using React and many such things. Once you start doing that and notice a missing feature, or find a bug, you end up fixing it. And that creates a solution for the greater good.”

“The same also allows young and experienced developers to polish their skills. It’s the best CV you can have, and probably serves better than most internships. Where else will you have the opportunity to have your code checked by some of the best and brightest in the world,” he adds.

Big players (the one’s providing cloud services) have now also started facilitating open source stacks. Going by the trend, it looks as if every big company will soon join this race, which could lead to big changes in the open source ecosystem. But according to Doshi, “I don’t think there is space for any major changes. The community will always be there, whether it is from the cloud provider or open source companies. I do not think there will be any threat to communities or business models as such.” 

Note: This article is based on a panel discussion held at Open Source India 2021.

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